FINANCIAL ACCOUNTING & REPORTING

Suggested Answers

July-August 2023

Answer to the Question# 1 (a):

Fair presentation and true and fair view

IAS 1 requires the financial statements to present fairly the financial position and performance of an entity rather than a true and fair view. Paragraph 15 of IAS 1 Presentation of Financial Statements describes the concept of fair presentation. Fair presentation involves representing faithfully the effect of transaction, other events and conditions in accordance with the definition and recognition criteria in IFRS Framework. This is developed by stating that the application of IFRS, interpretations and additional disclosures will result in fair presentation.

In Bangladesh Companies Act, 1994 requirement that financial statements should present 'a true and fair view.' This term is not defined in the Companies Act or in IFRS. Truth is usually seen as an objective concept reflecting factual accuracy within the bounds of materiality. Fairness is usually seen as meaning that the view given is objective and unbiased.

True could be approximated to 'represent faithfully' and to 'fair presentation'. IAS 1 links them by stating that compliance with standards will give a fair presentation.

Whilst not dealing with the concepts directly, IFRS Framework uses the description of fair presentation and true and fair view interchangeably in its discussion of the application of the principal qualitative characteristics of financial information.

Answer to the Question# 1 (b):

Substance over form and fair presentation

'Substance over form' is not a separate qualitative characteristic under the Conceptual Framework. The IASB says that to do so would be redundant because it is implied in faithful representation, in other words 'fair presentation'. Faithful representation of a transaction is only possible if it is accounted for according to its substance and economic reality.

The principle that transactions and other events are accounted for and presented in accordance with their substance and economic reality and not merely their legal form. Most transactions are reasonably straightforward and their substances (that is commercial effects) is the same as their legal form. In many complex transactions the true substance may not be readily apparent. Their legal form may not adequately express the true commercial effects of such transactions.

Where this is the case, it may not be sufficient to account for them by merely recording their form. The financial statements should represent commercial substance, not just legal form (substance over form). In order to be 'fair presentation'.

Answer to the Question# 2 (a):

The carrying amount of the bonds at 31 December in the years 2018 to 2022 is as follows:

Period end	**Amount borrowed**	**Interest @9.5%**	**Repaid @4%**	**Carrying amount**
31 December 2018	157,763	14,987	8,000	164,750
31 December 2019	164,750	15,651	8,000	172,402
31 December 2020	172,402	16,378	8,000	180,780
31 December 2021	180,780	17,174	8,000	189,954

31 December 2022	189,954	18,046	8,000	200,000

Answer to the Question# 2 (b):

Held for trading

	Tk.
Proceeds	10,000
Carrying amount [Tk. 34,000 x 1/4]	(8,500)
	1,500

Available for sale

	Tk.
Proceeds	10,000
Carrying amount [Tk. 34,000 x 1/4]	(8,500)
Re-classification of cumulative gains held in equity [Tk. 4,000 x 1/4]	1,000
	2,500

Note: The total amount recognized in profit or loss over the whole period that the financial instrument is held will be the same. The available-for-sale classification recognizes the whole amount in profit or loss on de-recognition whereas the held-for-trading classification recognizes it each year as the fair value changes and then any final amount on de-recognition.

Answer to the Question# 2 (c):

Financial statements extracts:
Statement of financial position as at 31 December 2022 [Extract]

	Tk. In million
EQUITY AND LIABILITIES	
Equity	
Ordinary share capital	50.0
12% Preference share capital (irredeemable)	10.0
Non-current liabilities	
8% Preference share capital (redeemable)	20.0
Statement of profit or loss for the year ended 31 December 2022 [Extract]	
Research cost (2m - 0.5m)	(1.5)
Finance cost (20m 8%)	(1.6)

Statement of changes in equity for the year ended 31 December 2022 [Extract]

	Ordinary share capital	Irredeemable preference share capital	Retained earnings	Total
	Tk. In million	Tk. In million	Tk. In million	Tk. In million
Balance at 1 January 2022	50.0	-	75.0	125.0
Correction of prior period error	-	-	(4.5)	(4.5)

Restated balance	50.0	-	70.5	120.5
Issue of share capital	-	10.0	-	10.0
Dividends paid (10 x 12% x 6/12)	-	-	(0.6)	(0.6)
Total comprehensive income (15-1.5)	-	-	13.5	13.5
Balance at 31 December 2022	50.0	10.0	83.4	143.4

Assumption:

1) Costs recognized as intangible asset was incurred for conducting research. Therefore, it could not meet the recognition criteria of IAS 38 Intangible Asset.

Answer to the Question# 3:

SARGENT CORPORATION
Statement of Financial Position
December 31,2022

	Note	Taka
ASSETS		
Non-current asset		
Investments	1.0	560,000
Property, plant, and equipment	2.0	1,720,000
Intangible assets	3.0	265,000
		2,545,000
Current assets		
Inventories	4.0	180,000
Accounts receivable	5.0	160,000
Trading securities	6.0	80,000
Cash		150,000
		570,000
Total assets		**3,115,000**
EQUITY AND LIABILITIES		
Shareholder equity		
Ordinary shares	7.0	100,000
Preference shares	8.0	450,000
Share premium	9.0	900,000
Retained earnings		320,000
		1,770,000
Non-current liabilities		
Notes payable		120,000
7% bonds payable, due 2023		960,000
		1,080,000
Current liabilities		
Notes payable		80,000
Accounts payable		140,000
Income taxes payable		40,000
Unearned service revenue		5,000
		265,000
Total liabilities		1,345,000
		3,115,000

Working notes:

1.0 Incestments

Investments in shares	270,000

	Bond sinking fund		250,000
	Land held for speculation		40,000
			560,000
2.0	**Property, plant, and equipment**		
	Land		500,000
	Land held for future use		270,000
	Buildings	1,040,000	
	Less: accumulated depreciation	360,000	680,000
	Equipment	450,000	
	less: Accum. depreciation equipment	180,000	270,000
			1,720,000
3.0	**Intangible assets**		
	Franchise		165,000
	Goodwill		100,000
			265,000
4.0	**Inventories**		
	Inventories are valued at lower of cost determined using FIFO or NRV		**180,000**
5.0	**Accounts receivable**		170,000
	less: Allowance for doubtful accounts		10,000
			160,000
6.0	**Trading securities**		
	Trading securities are valued at fair value		**80,000**
7.0	**Ordinery share capital**		
	Authorised capital		
	400,000 ordinary shares of Taka 1 each		400,000
	Issued, subscribed and paid-up share capital		
	100,000 ordinary shares of Taka 1 each		**100,000**
8.0	**Preference share capital**		
	Authorised capital		
	200,000 ordinary shares of Taka 5 each		1,000,000
	Issued, subscribed and paid-up share capital		
	90,000 ordinary shares of Taka 5 each		**450,000**
9.0	**Share premium**		

Ordinary shares 100,000 shares atTk. 9 per share	**900,000**

Answer to the Question# 4 (a):

Journal Entries

Particulars	Debit	Credit	Remarks
Bank	150 000		Initial recognition of bond liability
Bond Liability		150 000	
Bond Liability	12000		Payment of coupon at year end
Bank		12000	

Workings

Particulars	Fair value at 1 Jan 2022 (using original credit risk	Fair value at 31 Dec 2022 (using entity A's credit risk at year end)	Fair value at Dec 2022 Future value (using entity A's credit risk at year end)
Future value (BDT)	150 000	150 000	150 000
Payment (BDT)	12000	12000	12000
No. periods	10	9	9
Interest rate	8%	7.75%	7.85%
Present value	R -150 000.00	R -152 367.13	R -151 414.36

The carrying amount of the financial liability at year end is BDT 138 000 (BDT150 000 – BDT12 000 coupon). The difference between the carrying amount of BDT 138 000 and the fair value using the "original credit risk" represents changes in fair value due to market fluctuations and should be recorded through P/L. The difference between this fair value and the actual value of Entity A's bonds is a result of the deterioration in the credit quality of the bond and should therefore be recognised through OCI.

Answer to the Question# 4 (b) (i) & (ii):

The contract having been signed, there is a present obligation arising out of past events to pay the unavoidable costs under the contract.

The unavoidable cost of Tk. 3,600 should be recognized as a provision in the statement of financial position and as an expense in the profit or loss account. This is arrived as under:

If the deliveries of silk are taken by TPR, the unavoidable cost will be Tk. 3,600.

Revenue (300m x Tk. 28 x 2 months) = Tk. 16,800
Costs (300m x (Tk. 18 + Tk. 16)) x 2 moths = Tk. 20,400
Loss will be Tk. = Tk 3,600

If the silk purchase is cancelled, the penalties has to be paid (Tk. 2,400 x 2 months) = Tk. 4,800. Therefore, the unavoidable cost is lower of cost of fulfilling the contract and the penalties from the failure to fulfill the contract which is Tk. 3,600.

Answer to the Question# 4 (c):

To record the initial value of the lease asset and liability:

Dr Right-of-use asset		Tk. 438,200	
Cr Lease liability (423,200-50,000)			Tk. 373,200
Cr Cash	(443,000+20,000-5,000)		Tk. 65,000

Working:

Tk. 50,000 in advance plus PV of 4 payments at Tk. 50,000 and 5 payments at Tk. 55,000, discounted at 5%. PV of 4 payments at Tk. 50,000 and 5 payments at Tk. 55,000, discounted at 5%. [1-(1/1.05^4)]/0.05 x 50,000 Plus [1-(1/1.05^9)]/0.05 -[1-(1/1.05^4)]/0.05 x 55,000 => 423,200.

Total value of leased asset = Tk. (423,000 + 20,000-5,000) = Tk. 438,200

Year 1: At the end of year-1:

Non-Current Assets:

Right to use assets (423,200 + 20,000-5,000) - Dep 43,820	Tk. 394,380
Lease Liability – Non-current	Tk. 358,953
Lease liability – Current	Tk. 50,000

W1: Lease liability table-

Period ended	Payments at beginning of year	Remaining balance at beginning of year	Interest 5%	Closing at end of year
Y0	50,000	373,200	18,660	391,860
Y1	50,000	341,860	17,093	358,953
Y3	50,000	308,953	15,448	324,401

Answer to the Question# 5:

Computation of deferred tax liability/ asset as on 31 December 2022:

	Ref	Carrying value (BDT in Million)	Tax base	Temporary difference	Tax rate	DT L/(A) (BDT in million)
		----------BDT in million -----				
Advertising cost	(i)	-	12	(12)	30%	(3.60)
Trade & other payable						
Unearned commission	(ii)	(10.00)	(10.00)	-	30%	-
Other	(ii)	(30.00)	(25.00)	(5.00)	30%	(1.50)
Other receivable						
Dividend receivable	(iii)	8.00	8.00	-	20%	-
Other	(iii)	9.00	6.00	3.00	30%	0.90
Interest receivable (40 m x 10% x 9/12)	(iv)	3.00	-	3.00	10%	0.30
Machine (Right of use)*	(v)	48.82				
Lease liability**	(v)	(48.60)				
Interest accrued	(v)	(4.86)				
		(4.64)	-	(4.64)	30%	(1.39)
Plant	(vi)	234.59	225.00	9.59	30%	2.88
Provisioning for decommissioning (PV)	vi)	(34.03)	-	(34.03)	30%	(10.21)
	vi)	250	177.15	72.85	30%	21.86
Deferred tax liability - net						**9.24**

* BDT 28 discounted at 4 year annuity due less depreciation for two years
**BDT 28 discounted at 2 year annuity due

Answer to the Question# 6 (a):

Revised drafts of the consolidated income statement and statement of financial position

Consolidated income statement for the year ended 30 June 2022

	Tk.'000
Revenue (N-1)	51,410
Expenses (N-1)	(37,595)
Operating profit	13,815
Finance cost (N-1)	(3,180)
Profit before tax	10,635
Income tax (N-1)	(4,010)
Profit after tax	6,625
Attributable to:	
Owners of BD Limited (Bal.)	6,128
Non-controlling interest (N-2)	497
	6,625

Consolidated statement of financial position at 30 June 2022

	Tk.'000
ASSETS	
Non-current assets	
Property, plant and equipment [34,880+20,000]	54,880
Goodwill [9,540+7,944 (N-4)]	17,484
	72,364
Current assets [6,300+4,500-25 (N-7) -140 intra group]	10,635
Total assets	82,999
EQUITY AND LIABILITIES	
Equity	
Issued Ordinary shares	1,500
Share premium account	23,060
Retained earnings (N-6)	7,018
Non-controlling interest (N-5)	2,741
	34,319
Non-current liabilities	
Debt [17,310+16,300]	33,610
Current Liabilities [9,710+2,800+500+1,500+1,000-300-140]	15,070
	82,999

Answer to the Question# 6 (b):

Impact on financial ratios

	Original	Revised
Interest cover:	8.95	4.34
[(12,580 +490)/1,460]		
[13,815 /3,180]		
Interest cover [treating interest penalty as a finance cost)	-	3.54
[14,815 / 4,180]		
Gearing	51%	98%
[17,130 /33,790]		
[33,610/34,319]		
Basic EPS [N-8]	Tk. 5.56	Tk. 4.09

Interest cover has fallen and gearing has risen because SM Limited is significantly funded by debt. When SM Limited is consolidated using acquisition method, its debts are added to those of the partner company and have a disproportionate impact on debt compared to equity.
Basic EPS has fallen because of the reduction in profits caused by the need to provide for the interest penalty and the smaller adjustment for unrealized profits.

Appendix 1: Revised profit for SM Limited

	Tk.'000
Draft profit after tax per income statement	1,000
Add: Management fees	250
Less: Profit on intra-group sales [49% of 500 x 25/125]	(49)
Revised profit after tax	1,201

Working notes:

1 Consolidated income statement

	BD Limited	SM Limited	Adjustment	Total
Revenues	34,520	17,640	(500)	
			(250)	51,410
Expenses	(21,940)	(13,880)	500	
	(1,500)		(1,000)	
			250	
PURP (N-7)		(25)		(37,595)
Finance cost	(1,460)	(1,720)		(3,180)
Tax (30% x 1000)	(3,270)	(1,040)	300	(4,010)
Profit after tax		975		

2 Non-controlling interest - income statement
51% x 975 = 497

3 Net assets	At acquisition	At year end
Shares	1,000	1,000
Retained earnings [at acq=4,400 c/f less 1,000 retained earnings]	3,400	4,400
PURP adjustment (N-7)	-	(25)
	4,400	5,375

4 Goodwill

Consideration transferred:	
Cash paid on 1 July 2021	9,600
Fair value of contingent consideration at acquisition date	500
Non-controlling interest at the acquisition date [51% x 4,400 (N-3)]	2,244
	12,344
Less: net assets at acquisition (N-3)	(4,400)
Goodwill	7,944

5 Non-controlling interest - statement of financial position

5,375 (N-3) x 51%	2,741

6 Retained earnings

Draft total	9,230
PURP adjustment (49% x 25)	(12)
Less: Finance penalty accrued	(1,000)
Tax adjustment (30% x 1,000)	300

Revision to liability for contingent consideration		(1,500)
		7,018

7 Unrealized profit

Cost	100%	100
Profit	25%	25
Sales price	125%	125

8 Basic EPS

	Draft	Revised
Earnings	8,340	6,128
Basic shares	1,500	1,500
EPS	5.56	4.09

---The End---